

**Table 69.1** Identification Guidelines

| Characteristic                   | Discussion                                                                                                                                                                 |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Appearance                       | Looks like a V. Price makes a steep and long drop, then recovers.                                                                                                          |
| Plunge                           | Price drops at least 15%, but the average is higher: 30%.                                                                                                                  |
| Volume                           | Trends upward most of the time.                                                                                                                                            |
| Breakout direction, confirmation | Upward. A breakout occurs when price recovers at least 38.2% of the move down from the top of the pattern. If price doesn't rise that far, then it's not a valid V-bottom. |
| Duration                         | Patterns found are at least 3 weeks to 3 months long.                                                                                                                      |



**Figure 69.2** These two V-bottoms appear in a downward trend. The left one fails to see price reach the top of the left side, but the right pattern does better when price reaches G.

**Volume.** Volume trends upward most of the time (I'll attach numbers to what “most of the time” means later), but the direction is almost random. In the figure, these two V-bottoms have a descending volume trend.